

Depression

At the time of depression, demand is low and falling. Inflation is often high and so are interest rates. Companies, crippled by high borrowing and falling sales, are forced to curtail production, close down plants built at times of higher demand, and let workers go.

The United States went through a depression in the late seventies. The economy recovered and the eighties was a period of boom. Another downturn occurred in the late eighties and early nineties, especially after the Gulf War. The recovery of the US economy and that of the rest of Western Europe began again in 1993. Later the US again went through a period of depression at the turn of the millennium. India too went through a difficult period and it began its recovery in 2002.